CHEAPIFY

Smart Deals. Verified Sellers. One App. — 6-Month Pilot Budget & GIZ Grant Allocation

Confidential / Donor Proposal
GIZ Youth Entrepreneurship (CAPA / AUK)
Duhok Metropolitan Area, KRI

Project:	Cheapify (Single-SKU Retail Marketplace)	**Founder & Tech Lead:**	Shakir Bashar (Computer Engineer)
Pilot Geography:	Duhok City (Bazaar, Malta, KRO Commercial Hubs)	**Budget Period:**	6-Month Pilot (Nov 2026 – Apr 2027)
Currency Rate:	Iraqi Dinar & USD (1 USD ≈ 1,500 IQD)	**Excel References:**	Cheapify_Budget_GIZ.xlsx (Budget) & Cheapify_Monthly_Profit_and_Loss.xlsx (P&L)

$3,500 USD TOTAL PILOT REVENUE (5.25M IQD)	**$0 Dev & Content Fee** 100% IN-HOUSE ENGINEERING & MEDIA	**$2,200 USD** GIZ GRANT ASK (3.30M IQD)	**+$1,400 to $3,000/mo** STEADY STATE PROFIT (+78% TO 83% MARGIN)

1. EXECUTIVE STRATEGY: IN-HOUSE SOFTWARE ENGINEERING & SUSTAINABLE PROFITABILITY

In Iraq, over 80% of digital retail happens across fragmented social pages plagued by the "Interrogation Tax" (hidden prices, unlisted variants, missing dimensions). Cheapify organizes local retail into a structured Single-SKU catalog with side-by-side merchant price transparency and automated WhatsApp routing.

Why this financial model is compelling for GIZ approval: Because the founder is a computer engineer who develops the software, database, and APIs directly in-house, and produces all video marketing content, **cash software development and creator fees are $0**—saving over $6,000 in agency costs. With steady order volume and lean operational overhead ($156/mo), the business model demonstrates a **healthy 88.6% gross margin and +37.1% positive net operating profit (+1,950,000 IQD) during the pilot**, scaling to **+$1,400 to +$3,000 USD/month in net cash profit post-pilot**. The requested seed grant of **$2,200 USD (3,300,000 IQD)** strictly funds verified third-party operational bills: high-concurrency servers, Cloudflare edge security, WhatsApp APIs, local Meta ads in Duhok, and official commercial trade registration.

2. MASTER BUDGET ALIGNMENT (OFFICIAL TEMPLATE: CHEAPIFY_BUDGET_GIZ.XLSX)

Template Section	Operational Scope & Deliverable Description	Total (USD)	Total (IQD)
Revenue (Tab 2)	3,000 orders across tiered take-rates (avg 1,500 IQD) + 5 category sponsorships	**$3,500**	**5,250,000**
Direct Costs (Tab 3)	90 courier pilot test deliveries, 90 first-order vouchers, partner packaging supplies	**$400**	**600,000**
Gross Profit (Line 14)	Net revenue after direct transaction validation expenses **(88.6% Gross Margin)**	**$3,100**	**4,650,000**
Indirect Expenses (Tab 4)	Scalable servers, Cloudflare Pro, WhatsApp API, Duhok Meta ads, DCCI registration	**$1,800**	**2,700,000**
Net Operating Profit (Line 18)	**Sustainable Business Profit (+37.1% Net Profit Margin — Zero Loss!)**	**+$1,300**	**+1,950,000**
Asset Purchases (Tab 5)	CAPEX physical equipment (0 IQD — platform operates 100% asset-light)	**$0**	**0**
TOTAL PROJECT BUDGET	Total operational cash requirements to launch & pilot (Summary Line 40)	**$2,200**	**3,300,000**
Software & Content Creation Fee	Executed 100% in-house by Founder ($0 outside agency/creator fees)	**$0**	**0**
FUNDING NEEDED FROM GIZ	**Official Seed Grant Request for 6-Month Pilot (Summary Line 44)**	**$2,200**	**3,300,000**

3. DETAILED OPERATIONAL BREAKDOWN & REAL MARKET EVIDENCES (PART 1)

Pillar 1: Scalable Cloud & Edge Infrastructure ($670 USD / 1,005,000 IQD)

Item / Component	Technical Specifications & Market Evidence Citation	Monthly	6-Mo (USD)
High-Compute API Server	Dedicated vCPU instance (8 vCPU, 16GB RAM, NVMe) for high-concurrency Node.js API & search. Ref: Hetzner CPX41 (€32.90/mo) / DigitalOcean High-CPU Droplet ($48/mo).	$40 / mo	**$240**
Managed PostgreSQL DB	High-IOPS managed database with connection pooling, automated snapshots, and SSL encryption. Ref: Supabase Pro / Managed PostgreSQL cluster ($25/mo standard).	$25 / mo	**$150**
In-Memory Caching (Redis)	Sub-5ms in-memory caching tier for live price comparisons and merchant ranking tables, preventing DB locks during traffic spikes. Ref: Upstash Redis cluster ($15/mo).	$15 / mo	**$90**
Cloudflare R2 Object Storage	High-throughput cloud storage for standardized catalog images with **$0 egress bandwidth fees**. Ref: Cloudflare R2 standard storage pricing ($10/mo).	$10 / mo	**$60**
Cloudflare Pro & Edge CDN	Web Application Firewall (WAF), DDoS protection, auto-WebP compression, and regional Middle East edge caching. Ref: Cloudflare Pro Plan ($20/mo standard).	$20 / mo	**$120**
Cloudflare Registrar Domain	Official brand domain (`cheapify.iq` / `.com`) purchased directly at wholesale cost with free WHOIS privacy and DNSSEC. Ref: Cloudflare Registrar wholesale rate ($9.77/yr).	One-time	**$10**
Subtotal Cloud & Edge Infrastructure (Requested from GIZ)			**$670 (1,005,000 IQD)**

Pillar 2: Automated Order Routing & Communications ($110 USD / 165,000 IQD)

Item / Component	Technical Specifications & Market Evidence Citation	Unit Rate	6-Mo (USD)
WhatsApp Cloud API	~5,000 automated utility conversations (instant order confirmations, merchant 1-click dispatch alerts, rating pings). Cloud-to-cloud over HTTPS. Ref: Meta Business Cloud API Iraq utility rate (~$0.020/conversation).	5,000 msgs	**$100**
Business SIM & Line Maintenance	Dedicated business line eSIM registration in Duhok for Meta verification OTP + minimum balance recharge to keep line active. Ref: AsiaCell / Korek commercial SIM (3,000–5,000 IQD) + recharge.	One-time	**$10**
Subtotal Communications & Order Routing (Requested from GIZ)			**$110 (165,000 IQD)**

Pillar 3: Hyper-Local Customer & Merchant Acquisition ($600 USD / 900,000 IQD)

Item / Component	Technical Specifications & Market Evidence Citation	Monthly	6-Mo (USD)
Geo-Targeted Meta Ads	Hyper-local ad campaigns geo-fenced strictly to Duhok city (18–35 age group, shopping interests). Yields ~350,000 local impressions at Iraq's average CPM of $1.70–$2.20.	$100 / mo	**$600**
Product UX Teardowns & Demos	High-converting screen recordings, Single-SKU comparisons, and 1-click order flow tutorials for Instagram Reels / TikTok. **Produced 100% in-house by Founder Shakir Bashar**.	In-house	**$0**
Subtotal Customer & Merchant Acquisition (Requested from GIZ)			**$600 (900,000 IQD)**

3. DETAILED OPERATIONAL BREAKDOWN & REAL MARKET EVIDENCES (PART 2)

Pillar 4: Pilot Fulfillment & Direct Costs ($400 USD / 600,000 IQD)

Item / Component	Technical Specifications & Market Evidence Citation	Volume	6-Mo (USD)
Courier Pilot Deliveries	90 subsidized test deliveries across Duhok to validate courier speed, packaging safety, and COD settlement. Ref: Local courier parcel rate in Duhok (ZMC Express @ 3,000 IQD / $2).	90 orders	**$180**
First-Order Buyer Credits	90 introductory 2,000 IQD discount checkout vouchers to convert hesitant shoppers into active buyers during launch campaigns.	90 vouchers	**$120**
Merchant Packaging Kits	Branded Cheapify security tape rolls, document pouches, and fragile labels for pilot shops. Ref: Local Duhok packaging supplier.	15 kits	**$100**
Subtotal Pilot Fulfillment & Direct Costs (Requested from GIZ)			**$400 (600,000 IQD)**

Pillar 5: Compliance, Field Operations & Contingency ($420 USD / 630,000 IQD)

Item / Component	Technical Specifications & Market Evidence Citation	Term	6-Mo (USD)
Trade Registration (DCCI)	Trade name reservation filing, commercial registration, and membership fees with Duhok Chamber of Commerce & Industry (DCCI). Ref: Official KRI Chamber fee schedule.	One-time	**$250**
Legal Contract Review	Legal consultation with a local KRI attorney to review multi-seller vendor agreements, return policies, and consumer dispute terms. Ref: Standard local legal consultation fee in Duhok.	One-time	**$100**
Field Merchant Onboarding Travel	In-person shop visits across Duhok markets (Bazaar, Malta, KRO). **Conducted directly by founder Shakir Bashar**.	In-house	**$0**
Fiber & Generator Power	Existing residential and incubator facility infrastructure utilized by founder. Zero donor charge.	In-house	**$0**
Operational Contingency Buffer	Emergency liquidity reserve for foreign exchange rate fluctuations and unexpected API traffic surges. Standard donor practice.	Reserve	**$70**
Subtotal Compliance, Field Operations & Contingency (Requested from GIZ)			**$420 (630,000 IQD)**

4. POST-PILOT STEADY-STATE MONTHLY PROFIT & LOSS (MONTH 7 ONWARD)

Once the 6-month pilot completes, **all one-time startup expenses (DCCI trade registration, legal drafting, test delivery subsidies) drop to zero**. The platform transitions into a recurring high-margin operating model with a tiny monthly burn of just **$156 / month (234,000 IQD)**:

Monthly Line Item	Stage 1: Initial Steady State (Month 7) ~33 orders / day (1,000 orders/month)	Stage 2: Target Scale State (Month 12) ~67 orders / day (2,000 orders/month)
Gross Monthly Revenue	1,000 orders @ 1,500 IQD + 2 sponsorships = **$1,200 (1,800,000 IQD)**	2,000 orders @ 1,500 IQD + 4 sponsorships = **$2,400 (3,600,000 IQD)**
Less: Direct Costs (COGS)	Gateway fees & packaging (@ 150 IQD/ord): **($100) (150,000 IQD)**	Gateway fees & packaging (@ 150 IQD/ord): **($200) (300,000 IQD)**
Gross Profit (Gross Margin)	**$1,100 (1,650,000 IQD) — 91.7% Margin**	**$2,200 (3,300,000 IQD) — 91.7% Margin**
Ongoing Operating Overhead	Servers ($65), Redis/CDN ($35), WhatsApp ($20), Ads ($25), Storage/Domain ($11): **($156) (234,000 IQD)**	Scaled Compute ($85), Redis/CDN ($40), WhatsApp ($40), Ads ($50), Domain/Storage ($15): **($200) (300,000 IQD)**
NET MONTHLY CASH PROFIT	**+$944 / month (+1,416,000 IQD/mo)** +78.7% Net Margin	**+$2,000 / month (+3,000,000 IQD/mo)** +83.3% Net Margin

Ongoing Monthly Cash Burn ($156 / mo):
- Scalable Cloud Compute & PostgreSQL DB: $65 / mo
- Redis Caching Cluster & Cloudflare Pro: $35 / mo
- WhatsApp Business Cloud API Messaging: $20 / mo
- Ongoing Local Digital Ad Spend: $25 / mo
- Cloudflare R2 Storage & Domain Amortization: $11 / mo

Financial Break-Even Threshold:
With an average take-rate of 1,500 IQD ($1.00) and 150 IQD marginal COGS:

173 Orders / Month (5–6 Orders / Day)

across all partner retail shops in Duhok covers 100% of all ongoing operating expenses!

5. TIERED REVENUE MODEL (REPLACING PREDATORY COMMISSIONS)

Price Tier (IQD)	Take-Rate Model	Example Commission	Merchant Strategic Advantage
< 9,000 IQD	5% variable fee	350 IQD on 7,000 IQD item	Encourages small tech accessory volume
10,000 – 99,000 IQD	Flat 1,000 IQD fee	1,000 IQD on 45,000 IQD item	High-volume median product sweet spot
100,000 – 499,000 IQD	2% variable fee	3,000 IQD on 150,000 IQD item	Protects electronics seller profit margins
≥ 500,000 IQD	1.5% capped fee	9,000 IQD on 600,000 IQD item	Fair scaling for flagship laptops & smartphones

6. 12-MONTH FINANCIAL TRAJECTORY & COMMERCIAL RUNWAY (YEAR 1 P&L)

This roadmap maps Cheapify's financial transition from the 6-month donor-supported pilot to commercial self-sustainability, matching **Cheapify_Monthly_Profit_and_Loss.xlsx**:

Month	Orders	Total Rev (IQD)	COGS (IQD)	Gross Profit	OPEX (IQD)	Operating Profit	Net Profit (IQD)
Month 1 (Nov 26)	150	225,000	100,000	125,000	450,000	-325,000	**+225,000**
Month 2 (Dec 26)	250	525,000	100,000	425,000	450,000	-25,000	**+525,000**
Month 3 (Jan 27)	400	750,000	100,000	650,000	450,000	+200,000	**+750,000**
Month 4 (Feb 27)	600	1,050,000	100,000	950,000	450,000	+500,000	**+1,050,000**
Month 5 (Mar 27)	750	1,275,000	100,000	1,175,000	450,000	+725,000	**+1,275,000**
Month 6 (Apr 27)	850	1,425,000	100,000	1,325,000	450,000	+875,000	**+1,425,000**
Subtotal Pilot (1–6)	3,000	5,250,000 ($3,500)	600,000 ($400)	4,650,000 (88.6%)	2,700,000 ($1,800)	+1,950,000 (+37.1%)	+5,250,000 (+100%)
Month 7 (May 27)	1,000	1,800,000	150,000	1,650,000	234,000	**+1,416,000**	**+1,416,000 (78.7%)**
Month 8 (Jun 27)	1,150	2,025,000	172,500	1,852,500	238,500	**+1,614,000**	**+1,614,000 (79.7%)**
Month 9 (Jul 27)	1,300	2,400,000	195,000	2,205,000	250,500	**+1,954,500**	**+1,954,500 (81.4%)**
Month 10 (Aug 27)	1,500	2,700,000	225,000	2,475,000	256,500	**+2,218,500**	**+2,218,500 (82.2%)**
Month 11 (Sep 27)	1,750	3,225,000	262,500	2,962,500	292,500	**+2,670,000**	**+2,670,000 (82.8%)**
Month 12 (Oct 27)	2,000	3,600,000	300,000	3,300,000	300,000	**+3,000,000**	**+3,000,000 (83.3%)**
Subtotal Steady (7–12)	8,700	15,750,000 ($10.5k)	1,305,000 ($870)	14,445,000 (91.7%)	1,572,000 ($1,048)	+12,873,000	+12,873,000 (+81.7%)
ANNUAL TOTAL (YEAR 1)	11,700	21,000,000 ($14.0k)	1,905,000 ($1,270)	19,095,000 (90.9%)	4,272,000 ($2,848)	+14,823,000	+18,123,000 (+86.3%)

Year 1 Financial Milestones:

- **Annual Gross Margin:** 90.9% (19,095,000 IQD)
- **Annual Operating Profit:** +14,823,000 IQD (+$9,882 USD)
- **Total Year 1 Net Cash:** +18,123,000 IQD (incl. seed grant)
- **Zero External Bridge Funding:** 100% commercially self-financing

Why Donors & Juries Fund Cheapify:

- **High Operating Leverage:** Low fixed costs mean 80%+ of incremental revenue flows straight to net profit.
- **Proven Unit Economics:** 1,500 IQD commission easily covers server hosting & notifications.
- **Commercial Self-Sufficiency:** Complete sustainability from Month 7 onward without requiring further grants.

7. FINAL PITCH DECK PRESENTATION SLIDE & JURY SCRIPT

PART 4 · FINANCIAL ASK & SUSTAINABILITY

Projected Pilot Revenue: $3,500 USD (5.25M IQD)
Gross Operating Margin: 88.6% Gross Profit
Software Development Cost: $0 (Built In-House by Founder)
Content & Video Demos: $0 (Produced In-House by Founder)
Post-Pilot Monthly Profit: **+$1,400 to $3,000 / mo**

★ GIZ SEED ASK: $2,200 USD (3.30M IQD)

Seed Capital Allocation:
- **30% ($670):** Scalable Cloud Compute, PostgreSQL & Cloudflare Edge
- **27% ($600):** Duhok Geo-Targeted Meta Ads (Hyper-Local)
- **18% ($400):** Courier Test Deliveries & Partner Packaging Supplies
- **25% ($530):** WhatsApp API, DCCI Registration & Legal Contracts

Ongoing Cash Burn: Only **$156 / month** post-launch!

Verbatim Jury Pitch Script (30-Second Closer):

"Because I am a computer engineer building the entire platform and producing all marketing content myself, our cash development fee is $0—saving over $6,000 in agency costs and keeping our burn rate ultra-low. Cheapify operates on an 88.6% gross margin and generates a positive +37.1% net operating profit (+1,950,000 IQD) during the pilot.

We are requesting a lean seed grant of $2,200 (3,300,000 IQD) from GIZ strictly to fund third-party operational runway: 30% for high-concurrency cloud servers and Cloudflare edge security built for tens of thousands of users; 27% for hyper-local marketing in Duhok; 18% for courier delivery tests; and 25% for WhatsApp APIs, Chamber of Commerce registration, and legal contracts.

Once the pilot concludes, our ongoing monthly operating cost drops to just $156 a month. At only 6 orders per day across partner shops in Duhok, Cheapify is fully self-sustaining, scaling to over +$1,400 to +$3,000 USD per month with an 80%+ net profit margin. Cheapify is viable, profitable, and self-sustaining from day one."